

CRL

Conditional Retroactive Leverage

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1 Definition

CRL is a conditional leverage structure. A position opened under CRL begins with linear exposure to the underlying. No leverage is applied before confirmation.

A trigger level is defined at the opening of the position, together with a monitoring window. If the underlying reaches the trigger level within that window, the position enters the leveraged regime. From that moment, leverage applies to the movement of the underlying measured from the original entry reference, not from the trigger level.

CRL does not apply leverage to a movement the market has not confirmed. The mechanism is a change of state, followed by a redetermination of the position from its original entry reference. Once the leveraged regime is entered, both favourable and adverse movements relative to the entry reference are amplified.

2 Notation and payoff

S_0

The entry reference: the price recorded when the position opens.

K

The trigger level: the confirmation level defined at opening.

L

The leverage factor applied in the leveraged regime.

Monitoring window

The interval over which K is observed.

S_T

The closing price at settlement.

Let the linear payoff be proportional to $(S_T - S_0)$. If the trigger is not reached within the monitoring window, the position settles linear and the payoff is proportional to $(S_T - S_0)$. If the trigger is reached, the position settles leveraged and the payoff is proportional to $L \times (S_T - S_0)$.

Worked example. $S_0 = 100$, $K = 105$, $L = 5$. Before 105 is reached, the position is linear; a move to 104 and back is a 1x move. If the market reaches 105 within the window, the position enters the leveraged regime, measured from 100. If it then closes at 98, the result is $5 \times (98 - 100) = -10\%$ of the reference notional. Leverage applies from 100, not from 105.

3 The two regimes

Before the trigger

The position is linear. Its result is the movement of the underlying from the entry reference, unamplified.

At the trigger

The position transitions from the initial regime to the leveraged regime. The transition is irreversible for the life of the position.

After the trigger

For payoff calculation after the trigger, the position is equivalent to a leveraged position measured from the original entry reference. The trigger level no longer enters the payoff calculation.

Only the fact of confirmation matters, not the price at which confirmation occurs.

4 The payoff region

CRL is not a third payoff line positioned between a linear position and a standard leveraged position. It is a path-dependent selection between the two.

Below the trigger level, the terminal result depends on whether the trigger was reached at any point during the monitoring window. Two branches therefore exist over the same range of closing prices. Above the trigger level, only the leveraged branch exists.

The two branches meet at the entry reference. Above it, the leveraged branch is the better of the two; below it, the leveraged branch is the worse of the two. The point at which the regime makes no difference is the entry itself.

5 Premium framework

CRL carries a premium. **The premium is set by the operating institution and is the cost of accessing the conditional leverage structure. CRL Technologies does not set, quote or receive the premium.**

At a fair premium, CRL does not improve expected value. It changes when leverage is assumed, not whether a position is expected to be profitable. The premium is what the deferral of leverage costs, and it must be read as part of the payoff, not as an optional add-on.

6 Trade-off

CRL removes leverage before confirmation. It does not remove risk after confirmation. If confirmation occurs and the market later reverses, the position is already in the leveraged regime, and the reversal is amplified.

CRL avoids leverage before confirmation, not risk after confirmation.

This whipsaw case is a structural property, not an edge case, and it is the reason CRL must never be presented as protective.

7 Exclusions

- **CRL is not capital protection.**
- **CRL is not a capped-loss structure.** It contains no floor. The conditional component is a forward, not an option, and the absence of a floor follows from that structure.
- **CRL is not a guarantee of any outcome.** At a fair premium it does not improve expected value.
- **CRL is not a knock-in option.**
- **CRL is not intended for retail clients.**

8 Attestation

Each position carries a recorded, timestamped trail of its parameters and state transitions, independently verifiable by the operating institution. The trail records the opening parameters (S0, K, L, monitoring window, trigger source), the confirmation event if it occurs, and the settlement regime.

9 Prohibited descriptions

The following formulations misrepresent the structure and must not be used in any material, internal or external:

- **"Maximum loss equals the premium."** False. CRL has no loss floor; after confirmation the loss is leveraged from the entry reference.
- **"CRL protects capital" or "downside protection".** False. CRL is not protection.
- **"Capped loss" or "limited downside".** False. There is no cap and no floor.
- **"CRL is an option" or "knock-in option".** False. The conditional component is a forward.
- **"CRL improves returns" or "gives an edge".** False. At a fair premium it does not improve expected value.
- **"Guaranteed" or "risk-free".** False. CRL guarantees no outcome.
- **"Leverage from the trigger price".** False. Leverage applies from the original entry reference, S0.

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